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Palo Alto Networks Frightens Again

Sales woes, rising competition crimp growth of cybersecurity firm

By Dan Gallagher

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Palo Alto Networks President and CEO Mark McLaughlin, third from left, takes part in a panel at a cybersecurity summit in Palo Alto, Calif., in 2015. MONICA DAVEY/EUROPEAN PRESSPHOTO AGENCY

There was a time—not long ago—that good cybersecurity was thought to practically sell itself.

Not so much anymore, at least if you consider the recent travails of Palo Alto Networks. The one-time star of a new class of cybersecurity companies has seen its once whirlwind growth rates decelerate sharply over the past year. That continued for the fiscal second quarter reported late Tuesday, where sales grew 26% year over year—the slowest on record. The company also forecast a growth range of 17%-20% for the

current quarter.

In its previous earnings call in November, Palo Alto warned that larger companies were taking longer to make their purchasing decisions. On Tuesday, the company also called out problems with the structure of its sales force, which it promises to remedy. Palo Alto's share price still plunged 20% following the report.

Given that cybersecurity spending has moderated from its panic-induced levels from 2014, some of these struggles make sense. But they are still painful for a company that scaled a \$255 million business into a \$1.4 billion one in just four years. And it is worth noting that sales and marketing expenses have consumed about 56% of Palo Alto's revenue for the last four quarters, compared with its outlay of 44% of revenue before it went public in mid-2012. That is clearly a sign cybersecurity is no longer selling itself.

Investors shouldn't assume that Palo Alto's problems are all about sales execution. At least three of the analysts who downgraded the stock Wednesday say Cisco Systems is also becoming a bigger threat, as the network-equipment giant has a vast array of other products and services it can bundle with its security technology.

Tougher competition was bound to rush into such a hot market. Even if sales rebound, Palo Alto may have seen its best days for now.

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